Financial Results

This financial review and analysis should be read in conjunction with the Consolidated Financial Statements and related notes included in the Annual Report to Shareholders of Canada Bread.

Sales:

Sales of $567.3 increased by 11.6% compared to 1998 sales of $508.4. The sales increase was attributable to volume growth in all business lines, although fresh bread sales were the largest contributor to the increase, due to a new long term supply agreement with The Great Atlantic & Pacific Company of Canada Limited.

Earnings from Operations:

Earnings from Operations showed improvement in the third and fourth quarters as turnaround efforts yielded some improvements. Management expects earnings to improve in 2000 over 1999, however, because of the many changes that have been and continue to be made, quarterly results will continue to be difficult to predict.

Earnings from Operations before unusual items were $20.2 million, compared to $19.4 million in 1998. The impact of increased sales for the year was partially offset by lower margins, particularly on fresh and frozen sales as a result of higher systems costs, higher manufacturing and supply chain costs and higher waste in the supply chain, all of which improved in the latter half of the year.

Point 1

Build Leadership Capacity

1999 Highlights

- Renewed executive group with four new members
- Infused talent into 25 key positions in fresh bread marketing, operations, and finance
- Opened communication channels throughout the organization
- Planted new leadership values

2000 Priorities

- Hire 30 new people into key positions
- Propagate leadership values through the organization – especially "be externally focused" and "continuous improvement"



Unusual Items:
The Company recorded an earnings charge of $8.4 million related to certain restructuring planned for 2000 and this has been reflected as a charge against operating earnings. These expenses relate to a Company wide cost reduction effort.

Other Income:
Included in Other Income is the equity earnings share of Canada Bread's 25% investment in Multi-Marques Inc. These equity earnings decreased to $1.4 million from $2.4 million in 1998.

Financial Condition

Liquidity and Capital Resources:
Canada Bread finances its operations primarily out of cash flow from operations. In addition, to provide it with further liquidity, the Company and its subsidiaries have aggregate lines of credit of $77 million at year-end with major Canadian banks. Of this amount, $40 million is a revolving term loan under which $14.5 million was drawn at year-end. A further $1.4 million was drawn under the remaining $37 million of operating lines. During 1999, Canada Bread added an additional $10 million to its accounts receivable securitization program which was set up in 1998 to provide an alternative source of competitively priced financing. At year-end $20 million of accounts receivable had been

Point 2

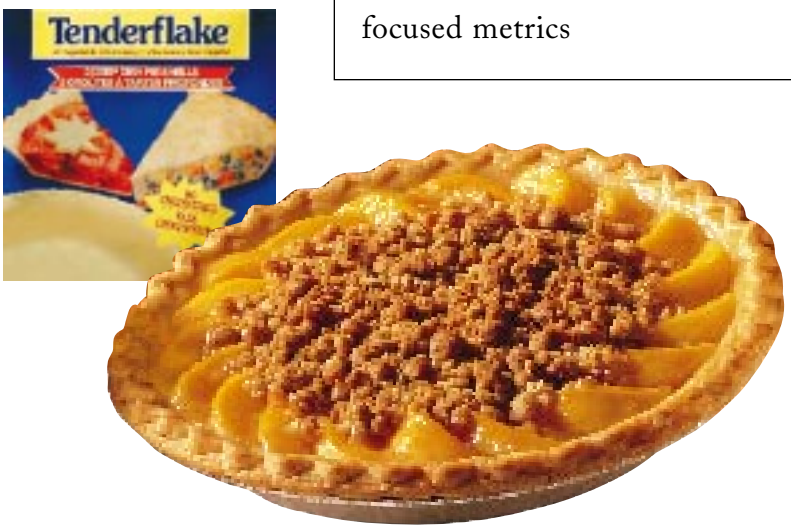
Drive Performance Through Accountability and Teamwork

1999 Highlights

- Galvanized cross functional teamwork around common performance goals
- Implemented 40 local profit improvement efforts leading to, for example, reduced returns, lower truck maintenance spending, improved marketing spending and increased distribution coverage

2000 Priorities

- Continue to evolve the business team structure to strengthen general management
- Drive performance to more externally focused metrics



sold under this program compared to $10 million in 1998.

Management is of the opinion that current sources of funding provide the Company with sufficient resources to finance on-going business requirements and its planned capital expenditure program. Management also believes that if further financial resources were required, the Company's balance sheet strength and cash flow from operations would provide it with access to significantly greater funding.

Dividends:
Dividends paid in 1999 equaled $0.24 per share (1998: $0.24), resulting in a cash outflow of $5.1 million (1998: $5.1 million).

Capital Investments:
Net additions to fixed assets increased to $21.4 million from $14.4 million in 1998. Principal investments during the year included the purchase and installation of a new par-bake line in the Etobicoke facility, and improvements to the Hamilton baking facility which was purchased in 1998. The Company continued to upgrade its computer systems throughout the year. In 1998, capital expenditures included the purchase and installation of a new par-bake hearth bread line and the relocation of the Venice bakery to new premises in British Columbia.

Risk Management:
The Company has financial risk to varying degrees relating to

Point 3

Get Core Processes to Perform

1999 Highlights

- Achieved 20 percentage point improvement in on time delivery
- 40% reduction in sales waste of fresh bread by stabilizing the order generation and fulfillment systems
- Redesigned logistics chain in frozen bakeries

2000 Priorities

- Exceed customer expectations for service and quality
- Sustain gains in order generation and fulfillment process
- Reduce salaried overhead by 6%
- Reduce waste in manufacturing processes by 35%



interest rates, foreign exchange and commodity pricing. The cost of flour, which represents a large component of the Company's raw material costs, is directly impacted by wheat prices and quality, which are often volatile. The Company manages its exposure to fluctuating flour prices through the use of forward purchase contracts.

Canada Bread also manages its exposure to interest rates by the use of interest rate derivative financial instruments, while foreign exchange currency contracts are used where appropriate to fix exchange rates on export sales and expenditures denominated in foreign currencies. *Information on the Company's use of derivative products and its year-end positions is set out in note 7 to the consolidated financial statements.*

Environment:
Canada Bread is conscious of its responsibility to the environment, and operates within an overall environmental policy that has been formally approved by the Board of Directors. The Board of Directors monitors compliance with the policy on a regular basis. The Company's emphasis

Point 4

Play to Win in the Marketplace

1999 Highlights

- Restructured marketing to strengthen brand and category management
- Conducted category management review with three major customers
- Developed baseline consumer insights and marketing plans
- Reorganized fresh bread sales force and adjusted size to correspond with customer shifts
- Increased distribution in pasta business

2000 Priorities

- Develop category partnerships with top three to six customers in each of our businesses
- Improve mix and pricing management
- Reposition and reinforce current brands around more compelling consumer insights
- Upgrade key account and street business selling



on the environment extends to the operations of its plants and the impact of these operations on air and water quality, the handling of toxic and dangerous chemicals and the use of packaging. The Company strives to exceed required environmental compliance and to provide a safe workplace for its employees. Resources, training and capital expenditures are directed to these areas to ensure that the Company continues to meet its responsibilities. The Company is in material compliance with existing environmental legislation. Expenditures relating to current environmental requirements are not expected to have a material effect on the financial position or earnings of the Company.

Related Party Transactions: Maple Leaf Foods Inc. and its subsidiary, Maple Leaf Foods USA Inc., provide certain management and other services to Canada Bread. The Company's Audit Committee reviews these arrangements on a regular basis. *See note 13 to the consolidated financial statements for further details.*

Change in Accounting Policy: The Company will adopt the new accounting requirements for accounting for income taxes effective January 1, 2000. The effect of adopting the new requirements has not been determined.

Point 5

Balance Supply and Demand in the Industry

1999 Highlights

- Integrated Hamilton bakery and A&P volume into Ontario manufacturing and distribution system
- Identified fresh bread consolidation opportunities, did homework and established relationships to access

2000 Priorities

- Pursue consolidation opportunities

